

inseparable components of India's growth narrative. Key projects like the Bharatmala initiative, innovative toll models, and the nationwide adoption of electronic toll collection via FASTag are transforming the roads sector. The logistics market is set to expand substantially, driven by the growth in e-commerce, with a projected 6.28% growth over 2022-27, reaching a staggering \$557 billion.

But there are also several reasons as to why the Indian economy is poised for this super take-off.

Government Policies: India's decade-long reforms, including the implementation of the Goods and Services Tax (GST), Real Estate Regulatory Authority Act (RERA), and Insolvency and Bankruptcy Code (IBC), have created a robust legal framework, ensuring transparency for stakeholders.

Taxation Policies: The government's proactive approach is evident in the corporate tax rate reduction to 17% for new manufacturing companies established between September 30, 2019, and March 31, 2024. This competitive rate places India ahead of economic powerhouses like China, Brazil, Malaysia, Mexico, and Indonesia.

Production-linked Incentives (PLI): To promote manufacturing, the government is set to roll out incentives exceeding \$34 billion, with PLI accounting for \$24 billion, according to a Citi research report. This strategic move positions India as an attractive hub for electronics and semiconductor manufacturing.

Increased Defence Allocation: The 2023-24 Budget reflects a 6.7% increase in defence allocation, with ₹1,62,600 crore dedicated to modernising defence infrastructure.



Gati Shakti and the National Logistics Policy propel the logistics sector forward, with an expected outlay of ₹100 lakh crore. This investment aims to provide multi-modal connectivity to over 1,200 industrial clusters and establish two defence corridors in Uttar Pradesh and Tamil Nadu.

Strategic Investment Approach:

One of the most accessible avenues to capitalise on these imminent growth themes is through thematic funds focussed on manufacturing, infrastructure, transportation, and logistics.

Given the long-term nature of these trends, investors are advised

AN AIR OF OPTIMISM SURROUNDS INDIA'S ECONOMIC LANDSCAPE THANKS TO GEOPOLITICAL SHIFTS, A BURGEONING YOUTH DEMOGRAPHIC, AND GOVERNMENT INITIATIVES

The defence industry is slated to receive ₹5.94 lakh crore, a 13% surge from the previous year, signalling significant opportunities for public and private sector players.

Large Infrastructure Spending:

A substantial allocation of ₹10 lakh crore for capital investment in infrastructure underscores the government's commitment to fostering growth. The National Infrastructure Pipeline covers 9,142 projects with an estimated investment of \$1.9 trillion, propelling India's development across 34 sub-sectors.

Driving Logistics: Initiatives like

to adopt a staggered investment approach, leveraging systematic investment plans (SIPs) to align with India's transformative economic journey.

In conclusion, India's economic trajectory for the next five years is laden with opportunities across diverse sectors. Businesses and investors attuned to these strategic themes can position themselves to ride the wave of India's economic resurgence and contribute to the nation's sustained growth and prosperity. **BT**

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